

expense but as a capital expenditure—thereby increasing the company’s total assets, instead of decreasing its net income.⁴

Poof! In one wave of the wand, Global Crossing’s “property and equipment” assets rose by \$575 million, while its cost of sales increased by a mere \$350 million—even though the company was spending money like a drunken sailor.

Capital expenditures are an essential tool for managers to make a good business grow bigger and better. But malleable accounting rules permit managers to inflate reported profits by transforming normal operating expenses into capital assets. As the Global Crossing case shows, the intelligent investor should be sure to understand what, and why, a company capitalizes.

An Inventory Story

Like many makers of semiconductor chips, Micron Technology, Inc. suffered a drop in sales after 2000. In fact, Micron was hit so hard by the plunge in demand that it had to start writing down the value of its inventories—since customers clearly did not want them at the prices Micron had been asking. In the quarter ended May 2001, Micron slashed the recorded value of its inventories by \$261 million. Most investors interpreted the write-down not as a normal or recurring cost of operations, but as an unusual event.

But look what happened after that:

FIGURE 12-1

A Block of the Old Chips